

Intermediate Financial Accounting -II

Course Code: ACFN 3020

Cr/hr :-4

Chapter -One

Current Liability and contingent

Liability are probable future sacrifices of economic benefit rising from present obligation of particular entity to transfer asset or provide service to other.

Liabilities are classified into two main groups. Those are **Current** and **long term** liability. Current liabilities are obligation for immediate or short period payment for the purpose of the following.

1. The use of the current
2. The creation of other current liability

Valuation and recognition current liability

Current liability are recorded at face amount.

Two conditions are must be poses as criteria for current liability recognition.

- i) Current Liability includes the future cash out flow from the past transaction.
- ii) Measured with the reasonable accuracy

Trade Account Payable

It result from the purchase of both goods and the service by on Account / on credit.

There are two ways of the recording trade accounts payable

1. **The Gross method-** under this method, the purchase is recorded at the invoice amount before deduction of any related cash discount.
2. **The Net method-** under this method purchase is recorded at the invoice amount less any related cash discount

Example:

Assume the following information is taken from the Alpha Co, plc. For the 6 year:-

- a. Purchase 1000,000 of the merchandise on the terms of the 2/10, n/30.
- b. Paid the invoice for the purchase of the 500,000 within the discount period and the purchase of 200,000 after the discount period.
- c. Estimated at the end of the 6 year that 80% of the 300,000 outstanding trade account payable would be paid within the discount period.

Required: - Given the journal entries the and present the balance sheet related to trade Account payable using gross method.

Case1: Record journal entries & balance sheet presentation related to account payable using gross method

Solution

A. Purchase -----1000,000

Trade Account Payable-----1000, 000

B. Trade Account Payable (500,000+200,000)-----700,000

Purchased Discount (500,000*0.02) -----10,000

Cash -----690,000

C. Allowance for the purchase Discount (300,000*0.8*0.02)-----4, 800

Purchase Discount----- 4,800

Cont

On balance sheet at the end of year 6

Trade account payable(1,000,000-700,000)-----300,000

Allowance for purchase discount -----(4800)

carrying amount -----295200

Case2: Record journal entries & balance sheet presentation related to account payable using Net method

A. Purchase -----980,000

Trade Account Payable -----980, 000

B. Trade Account Payable $700,000 - (700,000 * 0.02)$ -----686,000

Purchased Discount $(20,000 * 2\%)$ -----4000

Cash -----690,000

C. Allowance for the purchase Discount $(20\% * 300,000) * 2\%$ ---1200

Account payable----- 1200

Carrying value= $980,000 - 686,000$

= $294,000 + 1,200$

=**295,200**

Loan Obligation

Promissory notes payable as evidence of borrowing the stronger than the account payable .

Example:- Assume that, in the Nov 1, year 9, Unity Co. uses one year non-interest bearing notes as a consideration for the acquisition of the furniture. The face amount of the note is Br 240,000 and the current fair interest is 12% is compounded monthly per three decimal place.

Required:-

- i). Journal Entries for the month of Nov and Dec
- ii). The presentation of the notes in the unity Balance sheets on Dec, 31, year, 9 the end of fiscal year.

$$\begin{aligned} \text{PV Of date} &= \text{FV} \frac{1}{(1+i)^n} \\ &= \frac{1}{((1+0.12)^1)} \end{aligned}$$

i. Journal Entries for the month of Nov and Dec

Nov 1, Furniture (240.000×0.887) -----212,880

Discount on Notes Payable ----- 27, 120

Notes Payable -----240,000

Nov 30, Interest Expense $(240,000 - 27,120 \times 0.12 \times 1/12)$ ---2129

Discount on Notes Payable ----- 2129

Dec 31, Interest Expense $(240,000 - 27,120 + 2129) \times 0.12 \times 1/12$ ---2150

Discount on Notes Payable -----2150

ii. Balance sheet presentation

Notes Payables -----	240,000
Discount on Notes Payable (27,120 - 2129- 2150) -	<u>22,841</u>
Carrying Amount of the Notes -----	= <u><u>217,159</u></u>

Refinancing the short term Debt

Refinancing means replacing the short term debt with either long term debt or Equity security for more than operating cycle from the date of the balance sheet.

Liability Depended On Operating Result

Income taxes:

Journal entries if the taxes are paid in advance

At the time of payment

Prepaid income tax -----XXXXXX

Cash -----XXXXXX

When prepayment is expired

Income taxes expense-----XXXX

Prepaid income tax -----XXXX

Journal entries if the income taxes is Accrued
Adjusted for the accrued tax

Income taxes expense-----XXXX

Income taxes payable -----XXXX

At the time of paying the Debt

Income taxes expense -----XXXX

Cash -----XXXXXX

BONUAS

Some contract calls for conditional payments in an amount dependent on the revenues /sales /incomes (after deduction of the expense).

There could be three assumption are applying the bonus percentage:-

1. Income before income taxes and bonus.
2. Income after bonus and before income taxes.
3. Net income (Income after bonus and income taxes.

Example: - Assume Gift trading has a bonus plan under which marketing staff receives 25% of the income over 35000 earned by the business. Income for the business Amounted to the Br 95000 before the bonus and income taxes. The income taxes rate is assumed to be 35% . Calculates the bonus expense for Gift Trading under the following:-

1. Bonus is calculated based on the income before bonus and Income taxes

$$\begin{aligned}\text{Bonus} &= -0.25(95,000 - 35,000) \\ &= 0.25(60,000) \\ &= 15,000\end{aligned}$$

Journal entries

Bonus expense-----15,000

Bonus payable-----15,000

2. Bonus is calculated based on the income after bonus but before income taxes

let B refers to bonus

$$\text{Bonus} = 0.25(95000 - 35000 - B)$$

$$B = 0.25(60,000 - B)$$

$$B = 15000 - 0.25B$$

$$B + 0.25B = 15,000$$

$$= 1.25B = 15000$$

$$\frac{1.25B}{1.25} = \frac{15,000}{1.25}$$

$$\text{Bonus} = 12000$$

Journal entries

Bonus expense-----12,000

Bonus payable-----12,000

3. Bonus is calculated based on the income after bonus and income taxes

let **T** refers to income taxes

$$\text{Bonus} = 0.25[95,000 - 35,000 - B - 0.35[95,000 - B]]$$

$$= 0.25(60,000 - B - 0.35[95,000 - B])$$

$$= 15,000 - 0.25B - 0.0875(95,000 - B)$$

$$= 15,000 - 0.25B - 8,312.5 + 0.0875B$$

$$= 15,000 - 8,312.5 + 0.0875B - 0.25B$$

$$B = 6,687.5 - 0.1625B$$

$$= \frac{1.1625B}{1.1625} = \frac{6,687.5}{1.1625}$$

$$= 5,752.68$$

Estimate liabilities

Accounting treatment for contingent liabilities

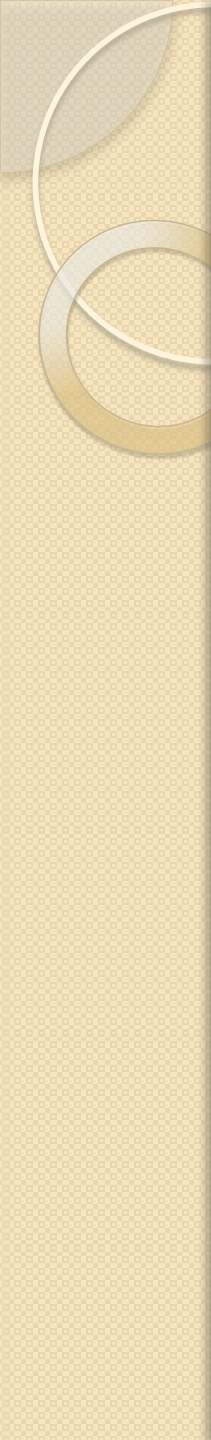
Contingent: a set of circumstance involving uncertain as to possible or not possible to business enterprise that ultimately will be resolved when a future event occur or fail to occur.

Are possible obligation depending on some uncertain future event .

Contingent liabilities comes from loss

e.g

- collection of receivable
- product warranty
- Risk of damage property by fire.



End of chapter one

Thank for listening

Chapter -two

Non-current liability

Long term liability are liability which need maturity period of more than one year.

Debt which is not paid with in one year.

Example

- Long term note payable
- Bond payable
- Mortgage payable
- Pension payable

Cont

BOND PAYABLE

Bonds: is a certificate including promissory to pay principal and interest on long term liability.

- It is a form of debt (contractual liability) a certificate showing that the borrowers promise to repay interest and principal on future specific future date.
- It can be issued by government and corporation
- Bond holder is not owner of the issuing company

Reason for issuing Bond Vs issuance of Share

- ✓ It may be the only source
- ✓ Offer tax advantage

B/c interest calculated on bond payable is tax deductibles

Types of Bonds

- ❖ Based on issuing entity
 - ✓ Municipal bond
 - ✓ Government bond
 - ✓ Corporate bond

Based on the nature of maturity risk

- **Secured bond** : backed by specific asset collateral bond (pledge of asset)
 - Give the bond holder the right to take specific asset of the issuer if the issuer fail to pay.
- **Unsecured bond** : are only backed credit worthiness.
- **Term bond** : bond issued that mature on single date .
- **Serial bond** : bond issued that mature in installment method .

Cont ---

- **Deep discount bond** : are bond that are pay exceptionally low rate of interest.
- **Registered bond** : issuer record name and address of owner it appear on certificate and interest payment to be made registered name.

Accounting treatment and issuance of bond

1. If bond issued at face amount

cash-----XX

Bond payable -----XX

To record interest periodically

Interest expense -----XX

cash-----XX

To record payment of principal amount

Bond payable -----XX

cash-----XX

Cont ...

2. If bond issued at discount.

Cash-----xx

Discount on bond ---xx

Bond payable -----xxxx

3. If bond is issued at premium

Cash -----xxxx

Bond payable -----xx

premium on bond payable -----xx

Accounting treatment for periodic expense

Interest expense -----xxxx } maturity at market
rate

discount -----xx} interest at state

cash-----xx

Accounting for issuance of term bond

Issuer promise

- payment principal on specific payment date.
- payment of interest periodical

Interest expense incurred determined by price at which the bond issued

- If the stated rate (contract rate) equal market rate (effective rate)

-bond is issued at face value

- At the time of issuance carrying value of bond equal to proceed received .

Proceed received =PV all cash payment at yield rate counted by market value.

Discount / premium as direct addition / reduction from face amount

When bond issued at face amount

Example : Assume that on January 1, 2020 a corporation issues for cash 100,000 of 12% five year of bond ,with interest of 6000 payable semiannually and the market rate of interest at the time of bond issued is 12%.

Bond price = PVCF + PV interest

$$\#. \text{PVCF} = \frac{\text{FV}}{(1+i)^n} \text{ or } \frac{\text{FV}(\underline{1})}{(1+i)^n} + \text{PV interest} \frac{(1-\frac{1}{(1+i)^n})}{i}$$

Cont

$$= \frac{100,000}{(1+0.06)^{10}} + 6000 \left(1 - \frac{1}{(1+0.06)^{10}}\right)$$

0.06

$$\begin{aligned} &= 100,000(0.558394) + 6000(7.36) \\ &= 55840 + 44160 \\ &= \underline{100,000} \end{aligned}$$

Journal entries

Cash -----100,000

bond payable-----100,000

Bond issued at discount

On January 1, 2020 Z company issued bond of 700,000 12% bond interest payable semiannually on January 30, and December 31.

The mature in the three years and the market rate on similar security on exchange is 14%.

Determine proceed received from issuance of bond and record entries

Bond price = PVCF + PV interest

$$= \frac{700,000}{(1+0.07)^6} + 42000 \frac{(0.33365778)}{0.07}$$

$$= 466440 + 200195$$

$$= \underline{666635}$$

Annuity concept

Discount = face value – present value

$$= 700,000 - 666635$$

$$= \underline{33365}$$

Journal entries

Cash-----666635

Discount on payable ----33365

Bond payable -----700,000

Cont --

Interest expense on January 30, 2020

$$= 666635 * 0.07$$

$$= \underline{46664}$$

Interest expense-----46664

Discount -----4664

cash -----42000

If bond issued at premium

When market value rate less than the contract rate .

Example : Assume on January 1, 2020, a corporation issued for cash \$100,000 of 12% for five years .if the market rate is 11% and compounded semiannually.

Required: compute present value of bond of bond

Bond price = PVCF + PV interest

$$=(100,000 * 0.58543) + (6000 * 7.53763)$$

$$=58543 + 45226$$

$$=\$103769$$

Journal entries

Cash -----103769

 premium -----3769

Bond payable -----100,000

Amortization of term bond issued at discount

There are two method of amortizing bond discount

- straight line method
- Interest method

Amortization of term issued at discount using interest period method.

- ☐ Balance sheet of debt change each period.
- ☐ Dollar amount of interest change each period.

Effective interest method

In theory the bond interest expense in each accounting period should equal the effective (market) interest expense.

Effective interest applied to the carrying value bond .

This method of computing interest expense interest method of amortization.

Example

Take previous example on January 1, 2020
Z Co issued bond of 700,000, 12% bond
interest payables semi annually January
30 and December 31. the bond mature in
three years and market rate 14%.

Cont

Year	Carrying value of bond	Interest =carrying value *market rate	Amortization	Actual cash interest
January 1, 2020	666635	—	—	—
January 30, 2020	666635+4664 =671299	666635*0.07 =46664	4664	42000
December 31, 2020	671299+4991 =676290	671299*0.07 =46991	4991	42000
January 30, 2021	676290+5340 =681630	676292*0.07 =47340.3	5340	42000
December 31, 2021	681630+5714 =687344	681630*0.07 =47714	5714	42000
January 30, 2022	687344+6114 =693458	687344*0.07 =48114	6114	42000
December 31, 2022	693458+6542 = 700,000	693458*0.07 =48542	6542	42000

Journal entries

Interest expense-----	48542
discount-----	6542
cash-----	42000

Amortization of bond issue cost at discount using straight line method

- Under straight line method discount equally allocated to interest periodically.
- Result in constant interest expense periodically.

Example under straight line

Year	Carrying value of bond	Interest expense	Amortization	Cash payment
	666635	—	—	—
1 st	672196	47561	5561	42000
2 nd	677757	47561	5561	42000
3 rd	683318	47561	5561	42000
4 th	688879	47561	5561	42000
5 th	694440	47561	5561	42000
6 th	700,000	47561	5561	42000

Cont

Interest expense -----47561

discount -----5561

cash-----42000

Bond issue cost

Cost related to issuance of bond

- Fees exchange commission.
- Advertising service.

Bond issue cost amortized the term of life

Unamortized bond issue cost debited
deferred charge .

Example

X corporation sold \$20,000,000 10 year bond for 207,95,000 on January1 ,2020 cost of issuing the bond were \$245000 and the nominal interest rate is 10%.

Record journal entry

1. Issuance of the bond
2. Amortization of bond issue cost.

Issuance of bond

1st determine cash to be received (proceed)

$$= 20795000 - 245000$$

$$= 20550000$$

Cash -----20550000

Bond issue cost-----245000

Premium on bond -----795000

Bond payable-----20,000,000

Cont

2nd to record amortization bond issue cost

$$\frac{=245000}{10} = 24500$$

Bond expense-----24500

unamortized bond issue cost----24500

Issuance of serial bond

- Principal is paid periodically
- Proceed received from issuance of serial bond
= PV principal paid periodically + PV interest
- A serial bond can be issued at discount /premium

Example

Assume that in early January, 2020, a company issued Br. 500,000 of ten-year, 10% serial bonds, to be repaid in the amount of Br. 50,000 each year. Assume that interest payments are made annually and that the bond issue costs were Br. 25000. As to the yield rate, assume the following two cases:

Case 1: 11%

Case 2: 9%

Required

1. Record journal entry issuance of bond .
2. Compute the proceeds received on the bonds under case1.
3. Compute the amount of bond Discount the time of issuance under case 1.
4. Record bond issue cost.

Solution

Year	1	2	3	4	5	6	7	8	9	10
Principal	50,000	50,000	50,000	50,000	50,000	50,000	50,000	50,000	50,000	50,000
Bond outstanding	500,000	450,000	400000	350000	300000	250000	200000	150000	100000	50000
Interest at state rate 10%	50,000	45000	40000	35000	30000	25000	20000	15000	10000	5000
Total cash	100,000	95000	90000	85000	80000	75000	70000	65000	60000	55000
PVCF	0.900	0.812	0.731	0.659	0.593	0.535	0.482	0.434	0.392	0.352
Proceed sum of PV	90090	77104	65792	56015	47440	40125	33740	28210	23460	19360

Cont

Total proceed = the summation of all
proceed

$$= 90090 + 77104 + 65792 + 56015 + 47440 + 40125 + 33740 + 28210 + 23460 + 19360$$

$$= \underline{481336}$$

Cont

1. To record issuance of record

cash-----481336

Discount----- 18664

Bond payable----- --500,000

2. Cash received = 481336 - 25000

= 456336

3. Discount = 18664

4. Record bond issued cost

Bond issue cost-----2500

cash-----2500

Extinguishment of long term debt

- Retiring long term obligation before maturity.
 - The result in extra ordinary gain or loss.
 - ❖ The issuer may be retire the debt by exercising the following techniques.
1. **Call provision:** right to call (pay) at specific rate prior to maturity
 - Compared book value vs call price
 - * determine gain or loss
- BV < call price = gain
- BV > Call price = loss

Cont

2. **Debt –equity swap**: exchange of bonds for share of the issuer common stock.
3. **Open market acquisition** : repurchase of the bond at substantial discount.
3. **Refunding** :retiring old debt by new debt
3. **Defeasance** :when debtor is released being primary for the debt either by law or creditor .
3. **In substance defeasance** : it is a condition when debtor place cash or asset in trust to be used only for payment both interest and principal debt obligation.

Example

- Assume that a company issued Br. 1000,000 of 10-year, 12% term bonds, with interest payable semiannually on April 1 and October 1 of each year. The bonds were issued on June 1, year 1, for Br. 1,070,800 accrued interest. The bond issue cost is \$4720 On December 1, year 2, 40% of the bonds were called which is 18 months after the bonds were at the call price of 103% plus accrued assume straight line amortization.

Required :

1. Present the journal entry to record extinguishment of the term bond December ,31 year 2.

June 1 year 1-December 31 year2=18month

April 1 year 1- June 1 year1= 2 month accrued Interest

FV= 40% *1000,000=400,000

PV=40%*1070,800=428320

Premium 28320

Total month =120 $\longrightarrow$ (10 year *12 month)

(- 2)

118

2. determine call price

400,000*103%= -----412,000

+ Accrued interest(400,000*12%*2/12) =8000

420,000

3. Premium on bond payable unamortized=18/118*28320=4320

4. Determine amortized bond issue cost

4720*40%=1888 = 1888 = 16

118

Amortized bond issue cost = 1888-270 = **1618**

Cont

5. Carrying value of bond

FV + Unamortized premium

400,000 + 24,000 = 424,000 # 100% $\longrightarrow$ 15.25% amortized

6. Determine gain or loss

Book value = 424,000

Call price = 412,000

12,000

(-) unamortized

bond issue cost (16,18)

Gain ----- 10,382

Journal entry extinguishment of term bond

Bond payable ----- 400,000

Premium ----- 24,000

Interest Expense ----- 8,000

Cash ----- 420,000

Gain ----- 10,382

Unamortized ----- 16,18

End of chapter two



Chapter three

Long-Term Investment in Common Stock and Bond

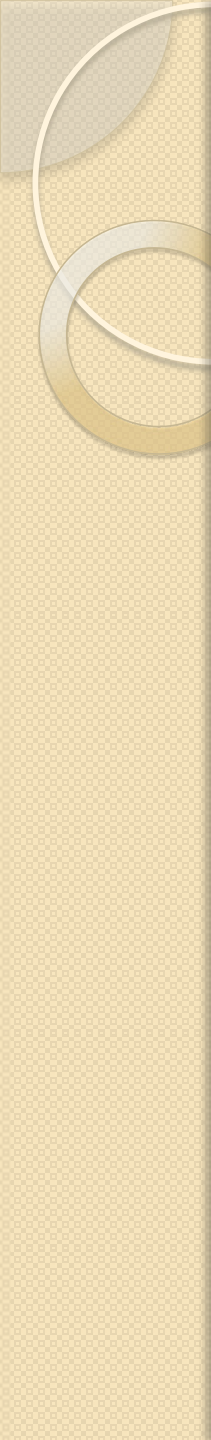
Business firm may make long term investment in security of an other company for many reasons.

- to create close relation ship
- To enhance income
- To acquire ownership of a company strong cash position

To diversification business Risk

3.3. Accounting for long-term investments in common stock

- Shares of stock may be acquired on the open market from a firm's stockholders, from the issuing corporation, or from stockbrokers.
- There are three different methods of accounting for long-term investment in common stock, depending on which return an investor wishes to measure.



These methods are

1. **Cost method** – investment income consists only of dividends received.
2. **Equity method** – Investment income consists of the investor's proportionate share of the investee's net income.
3. **Market value method** – investment income includes dividends received and changes in the market value of the investment.

3.2 The Cost Method of Accounting for Long-Term Investment in Common Stocks

Under this method a long-term investment is originally recorded and reported at cost.

It continues to be carried and reported at cost in the investments account until it is either partially or entirely. **Ordinary cash** dividends received from the investee are recorded as investment revenue.

Cont

Liquidating Dividends

When the dividends received by the investor in subsequent periods exceed its share of investee's earnings for such periods.

The dividends should be accounted for as a reduction of the investment-carrying amount rather than as investment revenue.

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Cont

Example: X Company acquired 10% of Y Company's outstanding common stock at the beginning of 2020 for Br. 300, 000. Y Company reported net income of Br. 200, 000 on December 31, 2020 and paid cash dividends of Br. 250, 000 on January 10, 2021

#The Journal entries to record the above transactions using cost method

Cont---

1. To record acquisition of the common stock

Investment in Y Company common stock -----30, 000

Cash-----30, 000

2. To record cash dividends received on January 10, 2021

Total cash dividend received by X Company = $0.10 \times 250,000 = \text{Br. } 25,000$

Post-acquisition earnings, share of X Company = $0.10 \times 200,000 = \underline{20,000}$

Liquidating dividend Br. 5,
000

Cash-----25, 000

Dividend revenue----- 20, 000

Investment in Y Company common stock----- 5, 000

Cont---

Acquisition cost include

Market price of stock

Commission and any fee paid 1% 72 share of z corporation at market price of \$ 28Y and paid \$25 as brokerage commission.

If Z corporation pays \$1 per share cash dividend. The necessary journal entry

1. To record acquisition

$$72 * 28 = 2016$$

No of share * market price + plus commission

$$2016 + 25 = 2041$$

Investment in Y Company-----2041

Cash-----2041

Cont

To record dividend payment

Cash ($72 * 1$)-----72

dividend Revenue-----72

when investment is sold at gain it recognized the d/c b/n acquisition and proceed received.

Example : Assume that data given under example two and 36 share of Z corporation purchased were sold at \$30 per share and 25 was paid for brokerage.

Record journal entry

$$\text{Acquisition cost per share} = \frac{2041}{72} = 28.34$$

$$\begin{aligned}\text{Proceed} &= 36 \text{ share} * \text{market share} - \text{commission} \\ &= (36 * 30) - 25 \\ &= 1080 - 25 \\ &= \underline{1055}\end{aligned}$$

Cash-----1055

Investment-----1020.24

Gain -----34.76

Equity method

Used when the investor is able to significantly influence financial operation of the company

If investor has 20% or more of voting privilege the dividend received is assumed as portion of investment.

Example : Assume X company acquire 30% of the common stock for \$72000 on January 1, 2020.

On December 31, 2020 S corporation paid dividend of \$ 30,000 & a Net income of \$ 150,000 including \$10,000 Extraordinary gain.

Record necessary journal entry on the book of X Co & determine X Co investment

1. To record investment January 1, 2020

Investment -----72000

cash-----72000

2. Dec 31, 2020 record receipt of dividend

cash-----\$9000

investment -----\$9000

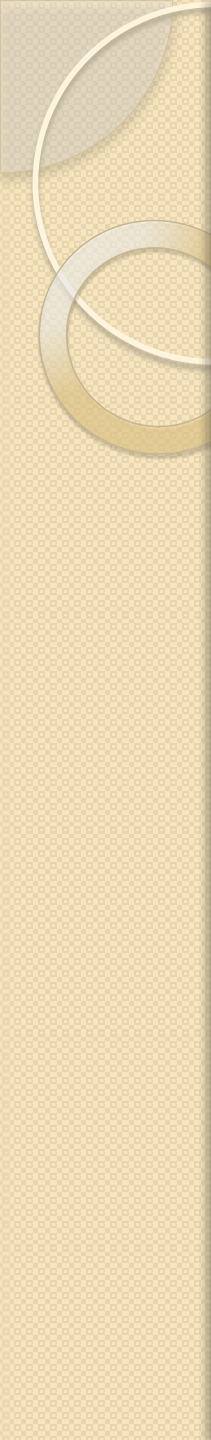
3. To record share of net income

Investment in S corporation($0.3 \times 150,000$)---45000

Investment revenue extra ordinary-----3000

Investment revenue (ordinary)-----42000

Balance of investment= $72000 + 45000 = 117000$



End of chapter three

Thank you for listening

Chapter Four

Accounting For Lease

A **lease** is a contractual agreement between a lessor and a lessee. This arrangement gives the **lessee** the right to use specific property, owned by the **lessor**, for a specified period of time. In return for the use of the property, the lessee makes rental payments over the lease term to the lessor

Advantages of Leasing

- 1. 100% Financing at Fixed Rates.** Leases are often signed without requiring any money down from the lessee.
- 2. Protection against Obsolescence.** Leasing equipment reduces risk of obsolescence to the lessee, and in many cases passes the risk of residual value to the lessor.
- 3. Flexibility.** Lease agreements may contain less restrictive provisions than other debt agreements

Cont

4. **Less Costly Financing.** Some companies find leasing cheaper than other forms of financing.

6.1. Classification of Leases

A. Operating leases

Under the **operating method**, the lessor records each rental receipt as rental revenue. It **depreciates the leased asset in the normal manner**, with the depreciation expense of the period matched against the rental revenue.

B. Direct-financing leases/capital lease/.

IAS 17 *Leases* (para 4) defines a finance lease as a lease that transfers substantially all the risks and rewards incidental to ownership of an asset.

In general

1. The lease transfers ownership of the property to the lessee.
2. The lease contains a bargain-purchase option.
3. The lease term is equal to 75 percent or more of the estimated economic life of the leased property.
4. The present value of the minimum lease payments (excluding executor costs) equals or exceeds 90 percent of the fair value of the leased property.

Cont

The annual lease payment is determined by the lessor using the following formula:

Selling price

Present value of annuity, at rate i , for n periods

Example 1.

Lessor leases a building to Lessee for 4 years starting January 1, 2020. Both the cost to Lessor and the selling price are \$50,000. There will be four lease payments, with the first one starting immediately on January 1, 2020. (Thus we are dealing with an annuity due situation.) The building has a 4-year life with no salvage value. Lessor's target rate of return is 10%. This lease meets the 75% test (the lease term is at least 75% of the life here it is 100% of the life) and is therefore, a capital lease.

Cont

Using the above formula, the annual lease payment is:

$$- \quad \underline{\$50,000}$$

Present value annuity due, 10%, 4 periods

$$= \$50,000/3.48685$$

$$= \$14,339.59$$

Both the lessor and lessee will make entries on their books indicating that a sale/purchase has taken place.

The following entries will be made by both parties for 2020

I). *on the book of lessor*

a) **January 1, 2020 (inception date)**

Lease receivable -----50,000

Building -----50,000

b). **January 1, 2020 (to record receipt of 1st installment)**

Cash -----14,339.59

Lease receivable -----14,339.59

c) **December 31, 2020 to record accrued interest**

Lease Receivable----- 3,566.04

Interest Revenue----- 3,566.04

Note : $(50,000 - 14,339.59) \times 10\% = 3,566.04$

d) **December 31, 2020, to record annual depreciation**

No journal entry on the book of lessor

ii. Record the necessary journal entry on the book of lessee

a. building –50,000

Lease payable-----50, 000

b. Lease payable----14,339.59

Cash-----14,339.59

c. Interest expense ---3,566

Lease payable -----3,566

d. Depreciation expense-----12,500

Accumulated depreciation-----12,500

NB:50,000/4=12,500

If we use the same information as in the previous examples, the amortization table would appear as follows:

Date	Payment	Interest	Change in Receivable/ payable	Balance of receivable
Jan 1,2020	—	—	—	50,000
Jan 1,2020	14339.59	—	14339.59	35660.41
Dec 31,2020	—	3566.04	3566.04	39226.45
Jan 1,2021	14339.59	—	14339.59	24886.86
Dec 31,2021	—	2488.59	2488.59	27375.55
Jan 1,2022	14339.59	—	14339.59	13035.96
Dec 31,2022	—	1303.60	1303.60	14339.56
Jan 1,2023	14339.59	—	14339.56	-0-

Example 2

To illustrate a capital lease, assume that **Caterpillar Financial Services Corp.** (a subsidiary of Caterpillar) and **Sterling Construction Corp.** sign a lease agreement dated January 1, 2011, that calls for Caterpillar to lease a front-end loader to Sterling beginning January 1, 2011. The terms and provisions of the lease agreement, and other pertinent data, are as follows.

- The term of the lease is five years. The lease agreement is non cancelable, requiring equal rental payments of \$25,981.62 at the beginning of each year (annuity due basis).
- The loader has a fair value at the inception of the lease of \$100,000, an estimated economic life of five years, and no residual value.

Cont

Sterling pays all of the executor costs directly to third parties except for the property taxes of \$2,000 per year, which is included as part of its annual payments to Caterpillar. The lease contains no renewal options. The loader reverts to Caterpillar at the termination of the lease.

- Sterling's incremental borrowing rate is 11 percent per year.
- Sterling depreciates, on a straight-line basis, similar equipment that it owns.
- Caterpillar sets the annual rental to earn a rate of return on its investment of 10 percent per year; Sterling knows this fact.

Cont

The minimum lease payments are \$119,908.10 (\$23,981.62).

Sterling computes the amount capitalized as leased assets as the present value of the minimum lease payments(excluding executor costs-property taxes of \$2,000)

Capitalized amount $-(\$25,981.62 - \$2,000) \times$ Present value of an annuity due of 1 for

5 periods at 10% = $\$23,981.62 \times 4.16986 = 100,000$

Solution

A. Sterling records the capital lease on its books on January 1, 2011, as:

Leased Equipment under Capital Leases	100,000
Lease Liability.....	100,000

Note that the entry records the obligation at the net amount of \$100,000 (the present value of the future rental payments) rather than at the gross amount of \$119,908.10 (\$23,981.62).

Cont...

b). Sterling records the **first lease payment on January 1, 2011**, as follows:

Property Tax Expense-----2,000.00

Lease Liability-----23,981.62

Cash -----25,981.62

Cont

C . At the end of its fiscal year, December 31, 2011, Sterling records **accrued interest** as follows.

Interest Expense----- 7,601.84

Interest Payable -----7,601.84

D. Depreciation of the leased equipment over its five-year lease term, applying Sterling's normal depreciation policy (straight-line method), results in the following entry on December 31, 2011.

Depreciation Expense—Capital Leases----- 20,000

Accumulated Depreciation----- 20,000

(\$100,000 /5)

STERLING CONSTRUCTION
LEASE AMORTIZATION SCHEDULE
ANNUITY-DUE BASIS

<u>Date</u>	<u>Annual Lease Payment</u>	<u>Executory Costs</u>	<u>Interest (10%) on Liability</u>	<u>Reduction of Lease Liability</u>	<u>Lease Liability</u>
	(a)	(b)	(c)	(d)	(e)
1/1/11					\$100,000.00
1/1/11	\$ 25,981.62	\$ 2,000	\$ -0-	\$ 23,981.62	76,018.38
1/1/12	25,981.62	2,000	7,601.84	16,379.78	59,638.60
1/1/13	25,981.62	2,000	5,963.86	18,017.76	41,620.84
1/1/14	25,981.62	2,000	4,162.08	19,819.54	21,801.30
1/1/15	25,981.62	2,000	2,180.32*	21,801.30	-0-
	<u>\$129,908.10</u>	<u>\$10,000</u>	<u>\$19,908.10</u>	<u>\$100,000.00</u>	

Accounting and disclosures

Illustration example 2 shows the liabilities section as it relates to lease transactions at December 31, 2011

Current liabilities

Interest payable	\$ 7,601.84
Lease liability	16,379.78

Noncurrent liabilities

Lease liability	\$59,638.60
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End chapter four

Chapter -5

5. Deferred taxation

Is a notional asset or liability to reflect corporate income taxation on the basis that is the same or more similar to recognition of profit than the taxation treatment

5.1. Accounting income versus taxable Income

- Earning profits/incomes is the core objective of any business enterprise. In order to earn profits, businesses generate revenues as well as incur Expense.
- The difference between revenues earned and expenses incurred is the net income earned by the business.
- Correct ascertainment of income is essential for two main reasons – to measure profitability as well as to compute tax Liability.

Cont...

- The calculation of income for both these purposes however varies as they are guided by different laws.
- This article looks at meaning of and differences between these two types of income calculations – accounting income and taxable income.

Accounting income:

- Accounting income is the profit or loss earned by a business, that is calculated on the basis of its books of accounts prepared in accordance with jurisdictional accounting standard.
- In order to calculate accounting income, all revenues for the period are recognized on the credit side of the profit and loss account and all expenses are recorded on the debit side.
- The difference between the recorded revenues and expenses is the accounting income.
- It is thus reported in the profit and loss account that forms part of the financial statements.

Cont...

- The basis of computation of accounting income is the accounting standards, principles and rules laid down by the specific jurisdictional law.

For example, the calculation of accounting income should comply with US GAAP in USA; and in many other countries, International Financial Reporting standard (IFRS).

Taxable Income

- Taxable income is refers to the base upon which an income tax system imposed tax.
- In other word the income over which government imposed tax.

The difference between Accounting income and taxable income

Key point of difference	Accounting income	Taxable income
Meaning	Is the difference between revenue earned and expense incurred by an entity as computed from its book of Accounts.	Is the resultant income computed after making allowance and disallowance to accounting income in line with tax law
Basis of calculation	Book of accounts prepared by the entity	Is the accounting income and provision contained in the tax laws
Hierarchy	Is calculated first	Is calculated after adjusting accounting income for tax allowance
Accrual or cash basis	Is generally prepared on accrual basis	Tax laws however generally result in a combination of accrual and cash basis being followed
Reporting	is report in the financial statement of the entity	Is reported in the tax return of the entity

5.2 Recap of temporary versus permanent differences

What are Permanent/Temporary Differences in Tax Accounting?

- As described in CFI's income tax overview, the difference in accounting for taxes between financial statements and tax returns creates a permanent and temporary differences in tax expenses on the income statement.
- The financial statements will arrive at a tax expense, but the actual tax payable will come from the tax return.
- This guide will explore the impact of these permanent and temporary differences in tax accounting.

Cont...

What is a permanent difference in tax expense?

- A permanent difference is the difference between the tax expense and tax payable caused by an item that does not reverse over time. In other words, it is the difference between financial accounting and tax accounting that is never eliminated. An example of a permanent difference is a company incurring a fine. Tax codes rarely ever allow a deduction in the event of a fine, but fines are often deducted from income in book accounting.
- A permanent difference will cause a difference between the statutory tax rate and the effective tax rate. Also, because the permanent difference will never be eliminated, this tax difference does not generate deferred taxes, as in the case of temporary differences.

Cont...

What is a temporary difference in tax expense?

- Temporary differences are differences between pretax book income and taxable income that will eventually reverse itself or be eliminated. To put this another way, transactions that create temporary differences are recognized by both financial accounting and accounting for tax purposes, but are recognized at different times. This is why temporary differences are also known as timing differences.

Cont...

- An example of a timing difference is rent income. Accrual accounting will only allow revenue to be recorded when it is earned, but if a company receives an advance payment of rental income, it must report this under taxable income on its tax return.
- As such, this revenue will be recorded on the tax return but not the book income. This creates a timing difference in this period. At a future period when the rental revenue is finally earned, the company will record that revenue under book income but not on its tax return, thereby reversing and eliminating the initial difference.

5.3. Deferred tax liabilities versus deferred tax assets

Deferred tax liability

- Deferred tax liability is a listing on a company balance sheet that records taxes that are owed but are not due to be paid until a future date. liability is deferred due to a difference in timing between when the tax is accrued and when it is due to be paid. For example ,it might reflect a taxable transaction such as an installment sales that took place one a certain date but taxes will not be due until later date.
- Deferred tax liability represent an obligation to pay taxes in the future
- The obligation originates when a company or individual delays an event that would cause it to also recognize tax expense I the current period.

Cont...

- Differences in tax liabilities are simply temporary imbalances between a reported amount of income and its tax basis: The accounting disparities appear when there are differences between the taxable income and the pretax financial income or when the bases of asset or liabilities differ for financial accounting and tax purposes.
- For example, money due on current Account receivable (AR) cannot be taxed until collection is actually made, but the sale needs to be reported in the current period.

Cont...

- Because these differences are temporary, and a company expects to settle its tax liability (and pay increased taxes) in the future, it records a deferred tax liability.
- In other words, a deferred tax liability is recognized in the current period for the taxes payable in future periods.
- One common situation that gives rise to deferred tax liability is depreciation of fixed assets.

Accounting treatment of deferred liability

Income tax expense.....xxx

deferred tax liability.....xxx

Deferred tax Asset

- A deferred tax asset is an item on a company's balance sheet reduce its taxable income in the future.
- Such line item asset can be found when a business overpays its taxes. This money will eventually be returned to the business in the form of tax relief.
- Deferred tax asset opposite of deferred tax liability, which indicates an expected increase in the amount of income tax owned by a company.
- Deferred tax asset is an item on the balance sheet that result from the overpayment or the advance payment of tax.
- Deferred tax asset can arise when there are difference in tax rule and accounting rule or when there is a carryover a deferred tax asset.

Cont...

Deferred tax asset is often created when taxes are paid or carried forward but cannot yet be recognized on the company income statement.

For example deferred tax asset can be created when the tax authority recognize revenue or expense at different times than those that the company follows as an standard. These asset helps reduce the companies future tax liability

Accounting treatment deferred tax asset

Deferred tax Assetxxx

deferred tax expense.....xxx

5.4. Tax losses carried forward

- A tax loss carry forward is a provision that allows a taxpayer to move a tax loss to future years to offset a profit. The tax loss carry forward can be claimed by an individual or a business to reduce any future tax payments.
- A tax loss carry forward allows tax payers to use a taxable loss in the current period and apply it to future tax period.
- Capital loss that exceeds that capital gain in a year may be used to offset ordinary taxable income up to \$3000 in any future tax year, indefinitely, until exhausted.

How tax loss carry forward work

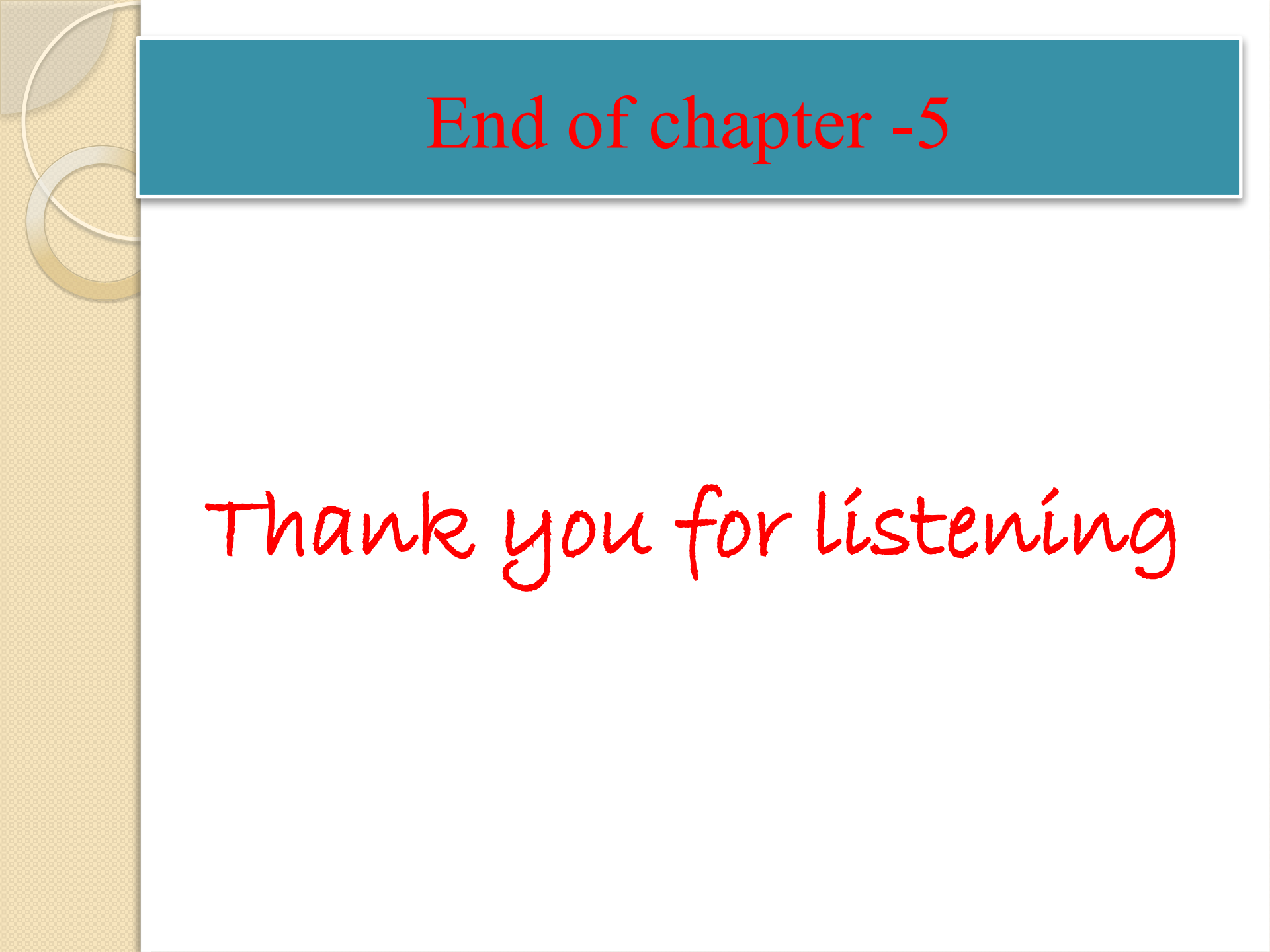
- Tax loss carry forward to be the opposite of profit or negative profit for tax purposes.
- Negative profit occurs when expense are greater than revenue or capital losses greater than capital gain

5.5. Disclosures

- Disclosure is the process by which accounting measurements are communicated to users of financial statements and used in decision making.
- This field focuses on what issues will be reported, when, in what ways, and to whom. Notes to financial statements are intended to strengthen or clarify the items presented in the main parts of the financial statements (profit and loss, changes in capital, balance sheet, and cash flow).

Cont...

- In most cases, all data required by the reader cannot be presented in the financial statements themselves, therefore the report includes essential information that must be presented in the notes to the financial statements.
- Notes to financial statements can be in the form of narratives, in part or in whole. Notes to financial statements not only help report users who do not understand quantitative accounting information but are also important for understanding the company's performance and financial position.



End of chapter -5

Thank you for listening

Revenue and expense recognition; income measurement and reporting

4.1. Recognition of revenue

The concept of revenue originated in the ancient times from the simple barter transactions involving goods and services between individuals.

Definition of terms

- Before undertaking the discussion of revenue recognition, a brief description of the following terms may be helpful:

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Cont...

Revenue: The FASB has defined revenue as the inflows or other enhancement of assets of a business enterprise or settlements of its liabilities (or a combination of both) during an accounting period from delivering or producing goods, rendering services, or other activities that constitute the enterprise's ongoing major or central operations. Revenue generally results in increases in cash and receivables. Examples of revenue items include sales, fees, interests, dividends, rents and royalties

Cont..

Realization: In the measurement of revenue, realization generally means that a measurable transaction (such as sales) or an event (such as the rendering of services) has been completed or sufficiently finalized to warrant the recording of earned revenue in the accounting records.

- The selection of the critical event indicating that revenue has been realized (earned) is the foundation of the revenue realization principle.

Revenue Recognition

The process of formally recording revenue in the accounting records is called revenue recognition. Before revenue is recognized it must be realized (or realizable) and measurable with sufficient reliability; thus, only realized and measurable revenue appear in a business enterprise's income statement.

Earning process: The profit directed activities of a business enterprise through which revenue is earned is known as the earning process; such activities may include purchasing, manufacturing, selling, rendering services, delivering and servicing products sold, allowing others to use enterprise resources, etc.

Conceptual Foundations Of Revenue Recognition

Revenue is the measurable value of goods and services that a business enterprise transfers to its customers and clients, and realization refers to the timing of revenue recognition.

Revenue Realization Conditions

Revenue is recognized in financial accounting at a specific stage of the earning process, generally when the following three revenue realization conditions are met:

- Sufficient reliable evidence exists to measure the market value of the output; such evidence generally is provided by an exchange transaction between independent parties.
- The earning process (in essence the creation of goods and services) is complete or virtually completed.
- Collection of claims from customers and clients who have purchased goods and services is reasonably assured.

Cont...

- Most of today's revenue generating transactions are complex and involve considerable uncertainty. Consequently, the implementation of the revenue realization principle is hardly a routine matter.
- Accountants must exercise professional judgment in the evaluation of the economic substance of revenue generating transaction and the evidence supporting it. In the sale of a product, for example, the seller must transfer all or substantially all risks of owning the product to the purchaser. Accountants must be especially careful not to recognize revenue prematurely or when a substantive exchange transaction is not present.

Stage in revenue recognition

Revenue from the sale of good and service recognized.

- On delivery of product and service
- Before delivery of product
- After delivery of product

1. On delivery of product and service (point of sales method)

The condition revenue recognition are usually met at the time of good and service are delivered

Thus revenue from the sale of good is usually recognized at the date of sales which is the date the good are delivered to the customer.

Revenue from service rendered is recognized when have been performed.

This method is called point of sales method or delivery method

2. Revenue Recognition Before Delivery

In some instance the earning process extend over several accounting period.

Delivery of the final product may occur years after initiation of product

Example construction large

- Bridge

- office building

- 📁 Contract for project often provide for progress billing at various point in the construction process.

- 📁 GAAP provide two method of Accounting for revenue on long term project

- ☐ Percentage of completion method

- ☐ Completed contract method

A. Percentage of completion method

Under this method revenue ,expense and gross profit are recognized each accounting period based on the estimate of the percentage of completion of the construction project.

Percentage of completion method recognize revenue on long term project as the contract is being completed , thus timely information provide

Cont...

- ❖ Measuring progress towards completion of long term construction project is accomplished with input measures and output measure.

- i. Input measure

The effort devoted to project to date is compared with total effort expected to be required in order to complete project

Example are cost incurred with total estimate labor required to completed project.

Input method means cost method

The cost to cost method measure percentage completed by ratio of the cost incurred to date to the current estimate of the total cost required to completed the project.

Cont

Percentage completed = $\frac{\text{total cost incurred to date}}{\text{most recent estimate total cost of the project}}$

- ❖ The most estimate of total cost is the sum of the total cost incurred to date plus the estimate cost yet to be incurred to completed the project
- ❖ Realized revenue = percentage completed * contract revenue minus total revenue realized in previous period.

ii. Out put measure

Result to date a compared with total result when the project is completed.

Example Assume that Midroc construction contracted to construct a dam for fixed price of 10 million in year 1 Midroc incurred cost of 2.2 million and expect to incur additional cost 6.6 million.

$$\text{Percentage of completed} = \frac{2.2}{6.6} = 0.25 * 100 = 25\%$$

$$\text{Realized revenue} = 25\% * 10,000,000 = 250,0000$$

Profit Realized

Contract revenue ($10,000,000 \times 25\%$).....2500,000

Less cost incurred.....2200,000

Gross profit300,000

In year 2 Midroc incurred cost of 5 million on the contract for total cost to date of 2.7 million ($2.2 \text{ million} + 5 \text{ million} = 7.2 \text{ million}$) and estimate the additional cost of \$ 1.8 million will be incurred in year 3 to completed contract

Contract revenue ... $10,000,000 \times 7.2/9 = 8,000,000 - 2,500,000 \dots 5,500,000$

Less cost incurred.....5,000,000

Gross profit500,000

Cont...

In year 3 Midroc completed the contract by incurring additional cost of 1.75 million compared with earlier estimate, therefore midroc income statement for year 3 includes the following amount.

Contract revenue (10,000,000 – revenue realized in year 1 and 2 is 8,000,000).....	2,000,000
Less cost incurred.....	1750,000
Gross profit	2500,000

B. On completion of production (completed contract method)

- Under this method revenue ,expense and gross profit are recognized when contract(production)completed.
- For such type of construction percentage of completion method is not appropriate because revenue recognized only when project is completed
- Example Addis construction company engaged in to contract with municipality to contract a 20 kilometer highway .total contract price \$800,000.

Additional data	year 1	year 2	year 3
Construction cost during the year	125000	495000	145000
Estimate cost to complete the project	625,000	155,000	0
Operating expense	5000	2000	2500

Required :compute realized profit on contract revenue for each

	year 1	year 2	year3
Contract revenue	-	-	800,000
Less cost incurred	-	-	<u>765000</u>
Profit.....			35000
Less operating expense	5000	2000	2500
Net income	(5000)	(2000)	25,500

3.Revenue recognition after delivery

- Under some circumstance revenue recognition criteria are not met until some time after delivery of good and service to customer.

➤ Because

when there is the right of return of the product.

The ultimate collectability of sales price highly uncertain in case of installment sales plan

Revenue recognition when there is right to return exists

- Some industries such book publisher and machinery manufacturers the sales term allows customer the right to return the goods and over long period of time. Then when the goods are delivered it is not known what amount of revenue will ultimately become realizable.
- According to SFAC No 48 if an enterprise sells its product but gives the right to return , revenue from such sales recognized at the time of sales only criteria are met
 - ✓ selling price to buyer fixed
 - ✓ The buyers has paid or obliged to the seller
 - ✓ If the agreement between buyer and seller is not changed
 - ✓ Buyer acquired the product for resale
 - ✓ If the amount of return can be assured

Installment method of revenue recognition

i. Installment method:

- Is the way of paying for some thing by making a series of small payment over long period of time.
- Provide cash down payment and series of additional monthly payment because payments extend over long period of time.
- Used for income tax purpose because it post pones the payment of income taxes until receivable is collected
- Installment method is not appropriate for financial Accounting
- Under installment method Revenue , the seller recognized gross profit on sales proportion to cash collected.

Example

Assume that Beka company has the following data for the year 2012 regarding contract sales and cost of good sold to be Accounted using installment.

	year 2013
Installment sales	80,000
CGS	<u>60,000</u>
GP	20,000
Cash collection	
Year 2012	100,000
Year 2013	52000
Year 2014	<u>18000</u>
	80,000

NB company uses perpetual inventory system

Record journal entries of Installment sales and collection of claims

A. To record installment sales

Installment sales receivables-----80,000

 Installment sales revenue-----80,000

Cost of good sold-----60,000

 Inventory-----60,000

B. To record cash collection 10,000 during the year

Cash-----10,000

 Installment sales receivables-----10,000

Cont...

- On December 31,2013 to record deferred gross profit on installment sales birr20,000

Installment sales revenue -----80,000

Cost of installment sales -----60,000

Deferred gross margin-----20,000

- On December 31,2013 on cash collection recognize gross margin which is 25% birr 10,000

Deferred gross margin -----2500

realized gross margin on installment sales---2500

ii. Cost recovery method

- Is some times called sunk cost method
- Under this method company recover all cost incurred before any profit is recognized
- No profit is recognized until cost of good sold recovered fully

iii. Cash collection Method

- The recognition of revenue may delayed the point of sales until additional evidence confirms the sales transaction.

E.g a significant degree of uncertainty may exists as to collection of receivable result from revenue transaction

- Under this method revenue recognized as cash is collected

Expense recognition

- After revenue of accounting is measured and recognized in conformity with the revenue principle ,the matching principle is applied to measure and recognized the expense of that period.
- When asset and service are used it should be recognized and reported during the period.
- Expense classified
 - Direct expense
 - period expense
 - allocated Expense

Direct expense (cost)

Is the cost associated with revenue such as cost of good sold

Period expense :cost not directly associated with revenue .

Such as salary expense ,Selling expense, Administrative expense

Allocated expense: such as depreciation ,Insurance expense



End of chapter 6

Thank you for
listening

Accounting Changes and Error Analysis

7.1. Types of accounting changes

1. Change in accounting principle

Changing from one acceptable accounting principle to another acceptable accounting principle is accounted for as a change in accounting principle

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Cont

- The types of changes that might be included in a change in accounting principle are:
- Adoption of a new FASB accounting standard
- Change in the method of inventory costing
- Change to, or from, the cost method to the equity method
- Change to, or from, the completed contract to percentage-of-completion method

2. Change in accounting estimate-Revision of an estimate because of new information or new experience

At the end of each accounting period there are a number of estimates made in order to prepare the financial statements

3. Change in reporting entity

Change from reporting as one type of entity to another type of entity.

4. Correction of an error-Correction of an error caused by a transaction being recorded incorrectly or not at all.

The correction of an error must be handled as a prior period adjustment to the earliest period reported in the financial statements

7.2. Approaches to recording and reporting accounting changes, Error correction and analysis

A. Retrospective approach

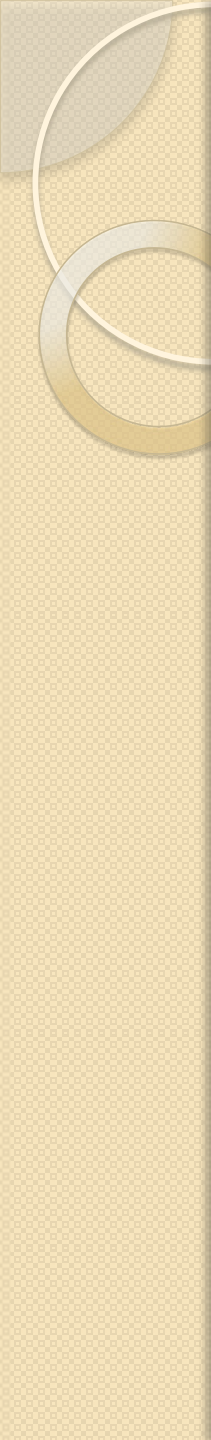
The retroactive approach provides consistency and comparability between periods and across entities. Comparative financial statements are recast to reflect the changes. The cumulative effect (net of tax) of the change is reported as a prior period adjustment in the earliest period reported. The accounting records are adjusted to reflect the cumulative effect (net of the change) as of the beginning of the current period. The change and its effects on income and balance sheet amounts is disclosed in the notes to the financial statements.

In applying the retrospective approach the financial statements are recast so that all prior periods

reported in comparative financial statement reflect the adoption of the change in accounting

B. Prospective approach

The prospective approach is used when it is impractical to use the retrospective approach. For example, a change from an acceptable inventory costing method to LIFO. It would be impractical for management to attempt to estimate what inventory and cost of goods sold would have been in prior years if the entity had been using LIFO



End of all Chapter

Thank you